

Internet stocks in the late 1990s will not break even for decades—if ever (see the commentary on Chapter 20).

* — Graham's point is that, based on their prices at the time, an investor could buy shares in these two companies for little more than their book value, as shown in the third line of Section B in Table 13-2.

1 As we will see in Chapter 19, this rationale often means, in practice, “to provide funds for the continued growth of the company's top managers' wealth.”

2 Appearing on CNBC on December 30, 1999, EMC's chief executive, Michael Ruetters, was asked by host Ron Insana whether “2000 and beyond” would be as good as the 1990s had been. “It actually looks like it's accelerating,” boasted Ruetters. When Insana asked if EMC's stock was overvalued, Ruetters answered: “I think when you look at the opportunity we have in front of us, it's almost unlimited.... So while it's hard to predict whether these things are overpriced, there's such a major change taking place that if you could find the winners today—and I certainly think EMC is one of those people—you'll be well rewarded in the future.”

3 The “Y2K bug” or the “Year 2000 Problem” was the belief that millions of computers worldwide would stop functioning at one second past midnight on the morning of January 1, 2000, because programmers in the 1960s and 1970s had not thought to allow for the possibility of any date past 12/31/1999 in their operating code. U.S. companies spent billions of dollars in 1999 to ensure that their computers would be “Y2K-compliant.” In the end, at 12:00:01 A.M. on January 1, 2000, everything worked just fine.

4 For more on the folly of stock splits, see Jason Zweig, “Splitsville,” *Money*, March, 2001, pp. 55–56.

5 Posting no. 3622, December 7, 1999, at the Exodus Communications message board on the Raging Bull website (<http://ragingbull.lycos.com/mboard/boards.cgi?board=EXDS&read=3622>).

6 Posting no. 3910, December 15, 1999, at the Exodus Communications message board on the Raging Bull website (<http://ragingbull.lycos.com/mboard/boards.cgi?board=EXDS&read=3910>).

7 See Graham's speech, “The New Speculation in Common Stocks,” in the Appendix, p. 563.

* — Graham describes his recommended investment policies in Chapters 4 through 7.